Grants to states

Following federal money through state programs

Status: Draft v0.1 (2026-11-04), for Steve's review. Extension 7 of 10 (see the extensions overview). Reference code: `analytics/forensic/passthrough.py`, tested on synthetic data only.

Bottom line

Most of the pandemic-era losses happened in programs the federal government pays for and states run: unemployment insurance (GAO estimated fraud at $100 billion to $135 billion), Medicaid, SNAP, child nutrition and emergency rental assistance. Federal agencies see these programs as a state-level total; the fraud happens one claimant, provider or subrecipient below that, in state systems. This extension sets out how to follow the money anyway, in three layers:

1. **State-level screens on public statistics** (Phase 1): which states, programs and years look unusual against their peers, adjusted so small states are not over-flagged.
2. **Subrecipient screens on Single Audit and subaward data** (Phase 1): the organizations a state keeps funding despite repeated audit findings, and pass-through programs where one new subrecipient takes most of the money.
3. **Claim-level screens through states and existing hubs** (Phase 2): NASWA's Integrity Data Hub for UI, CMS's T-MSIS for Medicaid, USDA's National Accuracy Clearinghouse for duplicate SNAP participation.

1. Programs and exposure

Public figures; check each against the latest PaymentAccuracy.gov release.

Program	Federal agency	FY2025 improper payments	Main fraud patterns
Medicaid	HHS (CMS)	$37.4B (6.1%)	Billing for services not provided (personal care, behavioral health, housing supports, autism therapy), provider identity theft, ineligible enrollees
Unemployment insurance	DOL	$5.6B (14.9%)	Identity theft, multi-state claims, fictitious employers, prisoners and deceased claimants

Program	Federal agency	FY2025 improper payments	Main fraud patterns
SNAP	USDA (FNS)	$10.2B (10.9%)	Retailer trafficking, duplicate participation across states, EBT skimming
Child Nutrition (CACFP, Summer Food)	USDA (FNS)	CACFP 10.5%	Sponsor fraud on meal counts (the Feeding Our Future case, about $250M)
TANF, child care (CCDF)	HHS (ACF)	Not all reported	Misuse of block grant funds, phantom attendance
Emergency Rental Assistance, Homeowner Assistance Fund	Treasury	Not reported as improper	Fictitious tenants and landlords

2. Layer 1: state-level screens (public data)

Screen	Data	Method
UI overpayment and fraud rates by state	DOL ETA 902P (Benefit Accuracy Measurement), ETA 227 overpayment reports	Robust z and empirical-Bayes rate ratio across states (`state_outliers`)
UI claims versus local job loss	ETA 539 weekly claims, BLS LAUS and QCEW	Claims growth that outruns job loss (DOL-1)
Medicaid spending versus enrollment by service	CMS-64 expenditure reports, T-MSIS Analytic Files summaries, enrollment reports	Spending that grows faster than people served (`growth_without_caseload`), by service category
SNAP payment error rates by state	FNS Quality Control reports	Peer comparison with shrinkage
SNAP retailer redemptions	FNS retailer data (where public), store counts by area	Redemption per store outliers (USDA-1)

A high state rate can mean more fraud or better detection. States that look hardest find the most, so the first question to a flagged state is how it measures, before whether it has a problem.

3. Layer 2: subrecipients (public data)

- **Single Audit findings** (Federal Audit Clearinghouse, fac.gov): every entity spending $1M or more in federal awards a year (2 CFR 200.501, as revised in 2024) files an audit with findings, questioned costs and repeat-finding flags. Screen: subrecipients with material weaknesses or questioned costs in three or more years that keep receiving funds (`repeat_finding_entities`).
- **Subaward concentration** (FFATA subaward reports in USAspending): Herfindahl index of each state agency's subawards and the largest subrecipient's share, by program and year (`subaward_concentration`). One new subrecipient taking most of a pass-through program is the shape of the Feeding Our Future case.
- **Missing audits:** subrecipients whose federal spending implies a Single Audit but none was filed.
- **Cross-agency matching** of subrecipients against exclusions, and network scoring of



subrecipients that share officers and addresses (see cross-agency matching and network analytics).

4. Layer 3: claim-level, with states (Phase 2)

Hub or route	Program	What it allows	Who to ask
NASWA Integrity Data Hub	UI	Cross-state matching of claims, suspicious actor repository, bank account verification	NASWA, DOL ETA, participating states
T-MSIS	Medicaid	National claim-level data submitted by states	CMS, HHS-OIG (already uses it)
National Accuracy Clearinghouse	SNAP	Duplicate participation across states, required by the 2018 Farm Bill	FNS
State data sharing agreements	Any	Claim and eligibility files for a pilot	State program integrity units, state auditors, Medicaid Fraud Control Units

Recommended Phase 2 entry: two states that already participate in the Integrity Data Hub and have an active state auditor partnership, running UI and SNAP identity reuse (roadmap X-3).

5. Partners beyond federal agencies

- **State auditors** (through NASACT) and **Medicaid Fraud Control Units** (federally funded, in every state).
- **Program integrity units** in state Medicaid, labor and human services agencies.
- **Federal OIGs** with state grant oversight: HHS-OIG, DOL-OIG, USDA-OIG.

6. Limits

- Public state data is aggregate and lags by a year or more.
- Single Audit quality varies, and findings are self-reported by the auditee's auditor.
- States own the claim data; each state agreement is separate.

7. Next steps

1. Build the state UI panel (ETA 902P, 227, 539 with BLS) for 2019-2026.
2. Load FAC findings for the six largest pass-through programs and run the repeat-finding screen.
3. Draft the two-state proposal using the pilot kit.

